

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No. 17-07

**PORT ELIZABETH TERMINAL & WAREHOUSE CORP.
COMPLAINANT
v.
THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY
RESPONDENT**

**RESPONDENT'S BRIEF IN SUPPORT OF ITS MOTION TO DISMISS THE PRAYER
FOR DAMAGES AND SECOND AND THIRD CAUSES OF ACTION OF THE
VERIFIED COMPLAINT**

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Preliminary Statement

The Port Authority of New York and New Jersey (the “Port Authority”), moves to dismiss Port Elizabeth Terminal & Warehouse’s (“PETW”) claim for reparations, as well as the second and third causes of action of the complaint for unreasonable refusal to deal or negotiate and for failing to establish, observe, and enforce just and reasonable regulations, respectively. Dismissal is warranted because PETW’s claims are time barred, legally insufficient, and unfounded.

PETW claims that the agreement that the Port Authority entered into with Port Newark Container Terminal (“PNCT”) on June 14, 2011, designated as Lease No.: L-PN-264 (the “PNCT Agreement”), contains more favorable lease terms than those offered to PETW in its November 1, 2009 agreement with the Port Authority, designated as Lease No.: LPN-297 (the “PETW Agreement”). However, PETW failed to commence this action within three years of its accrual as required by 46 U.S.C. § 41301(a), therefore, its prayer of reparations should be dismissed. PETW knew of the existence of the PNCT Agreement since July 20, 2011, yet it waited six years (i.e., July 21, 2017) to file this action with the FMC. The FMC action was filed a mere four days before trial of the Port Authority’s landlord/tenant eviction proceeding against PETW in New Jersey State Court, where PETW was evicted from two buildings in Port Newark pursuant to section 41(a) of the PETW Agreement. As set forth herein, PETW’s claim for reparations should be dismissed because it is time barred and no tolling exception applies.

PETW’s second and third causes of action are devoid of factual support and are based entirely upon legal conclusions disguised as factual allegations. As such, they fail to meet the most basic pleading requirements and should be dismissed.

In its second cause of action, PETW claims that the Port Authority unreasonably refused to deal or negotiate with PETW by consistently declining to make any commitments regarding its

plans for PETW's operations in Port Newark. However, the Port Authority's failure to make any commitments regarding PETW's continued operations in Port Newark does not amount to a refusal to deal or negotiate. In fact, PETW's own complaint concedes that Port Authority officials met with them on numerous instances from 2011 to 2017 to deal and negotiate. As such, dismissal of this cause of action is appropriate.

In its third cause of action, PETW's claims that the Port Authority violated 46 U.S.C. § 41102(c) because the Port Authority's "regulations and practices favor Marine Terminal Operators over others based upon non-transportation factors in a way so as to unduly favor Marine Terminal Operators based upon status." Other than this conclusory legal statement, the complaint is bereft of any facts whatsoever to state a claim for relief that is plausible on its face. Thus, dismissal of this cause of action is likewise warranted.

In sum, PETW's second and third causes of action should be dismissed because they fail to state a claim upon which relief can be granted as they based entirely upon legal conclusions disguised as factual allegations.

Procedural History

On July 21, 2017, PETW filed a complaint with the Federal Maritime Commission ("FMC" or the "Commission") against the Port Authority containing the following causes of action:

1. The Port Authority gave undue or unreasonable preference or advantage to other marine terminal operators and imposed an undue or unreasonable prejudice or disadvantage upon PETW. See Certification of Juan M. Barragan ("Barragan Cert.") at Exhibit ("Ex.") A. Specifically, PETW alleges that in January 2012, the Port Authority entered into an agreement with PNCT that gave PNCT "unduly and unreasonably more favorable lease terms than [those] provided to Port Elizabeth

- Terminal & Warehouse Corp.” under the PETW Agreement. *See* Barragan Cert. at Ex. A, p. 4, ¶ K, p. 6, ¶W, and p. 7, ¶ AA. PETW does not reference any other marine terminal operators other than the Port Authority, PNCT, and itself in the complaint.
2. The Port Authority unreasonably refused to deal or negotiate with PETW regarding the premises by consistently declining “to make any commitments whatsoever regarding its plans for Port Elizabeth Terminal & Warehouse Corp.’s continued operations at Port Newark.” *See* Barragan Cert. at Ex. A, p. 9, ¶ NN. The complaint fails to specify any instances where the Port Authority refused to negotiate in good faith during the time periods identified in the complaint or at any time during the Port Authority’s forty-plus year relationship with PETW. Rather, the complaint details numerous meetings between the Port Authority and PETW from August 2011 to March 2017. *See* Barragan Cert. at Ex. A, p. 8-10. For instance, according to the complaint, “on or about August 3, 2011, representatives of Port Elizabeth Terminal & Warehouse Corp. met with PANYNJ officials to discuss a proposal submitted on or about July 18, 2011 and to negotiate an agreement to finance, construct and operate state of the art warehouse buildings to replace buildings leased by Port Elizabeth Terminal & Warehouse Corp. from PANYNJ.” *See* Barragan Cert. at Ex. A, p. 8-9, ¶ JJ. The complaint further alleges that PETW met with Port Authority officials to negotiate on March 15, 2017 and March 28, 2017. *See* Barragan Cert. at Ex. A, p. 9, ¶ OO and Ex. A, 10, ¶ RR.
 3. The Port Authority failed to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property. *See* Barragan Cert. at Ex. A, p. 11. Specifically, PETW claims that the Port Authority’s “regulations and practices favor Marine Terminal Operators

over others based upon non-transportation factors in a way so as to unduly favor Marine Terminal Operators based upon status.” See Barragan Cert. at Ex. A, p. 11, ¶ AAA. Notably absent from the complaint are any regulations or practices that the Port Authority was required to establish, observe, and enforce, but failed to do so. Moreover, the complaint fails to provide any details describing how the Port Authority failed to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.

Based on these alleged violations of the Shipping Act, PETW seeks: 1) an order requiring the Port Authority to negotiate in good faith and reach agreement regarding alternative suitable space at reasonable rates for the continuation of PETW’s operations in Port Newark and providing PETW the preferences provided to PNCT and other tenants; 2) damages in the amount of all losses incurred by PETW as a result of the Port Authority’s actions; 3) attorneys’ fees and costs; 4) interest, and; 5) any other relief that the FMC determines is appropriate. See Barragan Cert. at Ex. A, p. 12-13.

On August 17, 2017, the Port Authority filed its answer with affirmative defenses. See Barragan Cert. at Ex. B. As its second affirmative defense, the Port Authority contended that PETW’s complaint fails to state a claim upon which relief can be granted. See Barragan Cert. at Ex. B, p. 13. As its fifth affirmative defense, the Port Authority asserted that PETW’s claims are barred by the applicable statute of limitations. See Barragan Cert. at Ex. B. p. 13.

Statement of Relevant Facts

PETW is a public warehouse company that operates warehouses in the States of New York and New Jersey. See Barragan Cert. at Ex. A, p. 3, ¶ C. On November 1, 2009, PETW and the Port Authority entered into the PETW Agreement pursuant to which the Port Authority leased to

PETW certain premises in Port Newark, which included building 201 and building 202. *See* Barragan Cert. at Ex. C. The letting of building 201 and building 202 commenced on November 1, 2009 with a termination date of October 31, 2019, unless terminated sooner pursuant to the terms of the PETW Agreement. *See* Barragan Cert. at Ex. C, p. 3.

Section 41 of the PETW Agreement titled, Additional Termination Rights/Recapture Rights, gave the Port Authority and PETW the right to terminate the letting of buildings 201 and 202, without cause, from and after October 31, 2015, on one year's prior written notice to the other party. *See* Barragan Cert. at Ex. C, p. 61-62. "Termination under the provisions of this Section shall have the same effect as if the effective date of termination stated in the notice were the date of expiration of the Term." *See* Barragan Cert. at Ex. C, p. 61-62.

On June 14, 2011, PNCT and the Port Authority entered into the PNCT Agreement whereby the Port Authority agreed to deliver possession of certain parcels of land in Port Newark free of all tenants and occupants (the "Added Parcels") to PNCT. *See* Barragan Cert. at Ex. D, p. 25. The Added Parcels would be delivered to PNCT in four phases. *See* Barragan Cert. at Ex. D, p. 7 and 14. PNCT, in turn, was required to "develop and construct improvements on the Added Parcels for use as a Marine Container Terminal Facility . . . in accordance with plans and specifications approved by the Port Authority." *See* Barragan Cert. at Ex. D, p. 36. In order for the Port Authority to deliver possession of the Added Parcels to PNCT in a timely manner, the Port Authority agreed "that it shall use commercially reasonable efforts to cause the current tenants at each of the Added Parcels to comply with the applicable provisions in their lease agreements with respect to vacation and surrender of the relevant Added Parcel . . . [and] not extend or renew any leases of the current tenants at each of the Added Parcels" *See* Barragan Cert. at Ex. D, p. 25.

The expansion of PNCT's facility in Port Newark was publicly announced shortly after the parties signed the PNCT Agreement. According to a June 15, 2011 article titled "Port Newark terminal lease deal to double volume," the "lease deal between the Port Authority of New York and New Jersey and Port Newark Container Terminal, or PNCT, calls for the company to secure \$500 million in private investment intended to transform its facility on Newark Bay into a larger, more efficient state-of-the-art terminal, which in turn would help accommodate the increased container volume." See Barragan Cert. at Ex. E, p. 2, ¶ 2. The June 2011 article notes that the benefits of PNCT's investment will include the "creation of 1,150 jobs, including 350 construction jobs, resulting in \$88 million in annual wages and \$630 million in regional economic activity." See Barragan Cert. at Ex. E, p. 1, ¶ 6.

On July 20, 2011, PETW's President, Patrick J. Wynne, requested in writing to meet with representatives of the Port Authority to further discuss PETW's plans to relocate its warehousing operations through the construction of new facilities. See Barragan Cert. at Ex. F. In the July 20, 2011 letter, Mr. Wynne notes that "[t]he announcement and publicity around the PNCT expansion, while a positive for the Port, has resulted in concerns on the part of our customers as to our future. Fortunately, at least one of the articles did mention that The Port Authority was working with us to find a new location." See Barragan Cert. at Ex. F.

As of March 16, 2016, PETW owed the Port Authority \$1,783,155.24 in unpaid rents and other charges. See Barragan Cert. at Ex. G, ¶ 1. This amount included rents going as far back as August 2015 that had not been paid in full. See Barragan Cert. at Ex. G, ¶ 1. In an email dated March 16, 2016, PETW was advised that its "account remains severely delinquent and continues to draw negative attention within the Port Authority. To avoid this being escalated any further, a substantial payment must be made immediately." See Barragan Cert. at Ex. G, ¶ 2.

As building 201 and building 202 were part of the Added Parcels to be delivered to PNCT free of all occupants and tenants, (see, Barragan Cert., Ex. D, p. 25), on April 19, 2016, the Port Authority served upon PETW a Notice of Termination pursuant to section 41(a) of the PETW Agreement (the “Notice of Termination”). See Barragan Cert. at Ex. H. In the Notice of Termination, the Port Authority advised PETW that it was exercising its rights to terminate the letting of buildings 201 and 202 of effective May 1, 2017, with the last day of beneficial occupancy being April 30, 2017. See Barragan Cert. at Ex. H. By email dated April 20, 2016, PETW acknowledged receipt of the Notice of Termination. See Barragan Cert. at Ex. I.

Following service of the Notice of Termination, representatives from the Port Authority and PETW met on numerous occasions, including on October 20, 2016, November 30, 2016, and March 28, 2017, to deal, negotiate, and discuss PETW’s proposals to pay back its outstanding arrears and find alternative warehousing space. See Barragan Cert. at Ex. J, K, and L. However, the Port Authority did not accept PETW’s proposals because it required the Port Authority to lease several buildings to PETW and wait almost four years until all the arrears are paid. See Barragan Cert. at Ex. M.

Despite having over one year’s written notice, PETW did not vacate building 201 or 202. On May 4, 2017, the Port Authority commenced a landlord/tenant action for a judgment of possession in the New Jersey State Court of Essex County, Law Division, Special Civil Part, Landlord/Tenant. See Barragan Cert. at Ex. N. On July 21, 2017, four days before the trial date of the landlord/tenant action, PETW filed a complaint with the FMC. On July 25, 2017, the parties appeared before the Hon. Dennis F. Carey, III, for the trial of the landlord/tenant eviction action. Same was adjourned to July 26, 2017, in order for the trial court to consider the merits of PETW’s

order to show cause to stay the eviction action pending resolution of the FMC proceeding. *See Barragan Cert. at Ex. O.*

On July 26, 2017, Judge Carey denied PETW's order to show cause. *See Barragan Cert. at Ex. P, p. 17-20.* On that date, PETW made an oral motion to transfer the case to the Law Division, Civil Part, in order to file a counterclaim against the Port Authority. *See Barragan Cert. at Ex. P, p. 20.* Same was denied by Judge Carey and the matter proceeded to trial. *See Barragan Cert. at Ex. P, p. 20.* The Port Authority presented evidence concerning (what) and PETW presented evidence (concerning what)? After both sides has the opportunity to be heard, Judge Carey found that as a matter of law, the Port Authority complied with the provisions of the PETW Agreement and entered a judgment of possession in favor of the Port Authority. *See Barragan Cert. at Ex. P, p. 33.* During the course of the July 26, 2017 proceedings, Judge Carey noted his suspicions on the record that PETW's filing of the FMC complaint was merely a ploy to delay the eviction process. *See Barragan Cert. at Ex. P, p. 20.*

PETW proceeded to file an emergent application with the Appellate Division for a stay. On August 7, 2017, the Appellate Division entered a decision and order denying PETW's application for a stay and affirming the trial court's decision and findings. *See Barragan Cert. at Ex. Q.* In its decision, the Appellate Division found that "[a]lthough a prior application had been made to the FMC, *ibid.*, the trial court reasonably found defendant's filing of a complaint with the FMC was an inappropriate tactic to delay eviction proceedings." *See Barragan Cert. at Ex. Q, p. 2.*

On September 18, 2017, a special civil part officer from Essex County served the warrant of removal upon PETW. *See Barragan Cert. at Ex. R.* It was only after the warrant of removal was served that PETW proceeded to vacate buildings 201 and 202. In an effort to aid PETW in

its relocation efforts, the Port Authority gave PETW from September 18, 2017 until October 31, 2017 to vacate buildings 201 and 202 in their entirety.

Argument

PETW's prayer for reparations should be dismissed because this action was not commenced within three years of its accrual as required by 46 U.S.C. § 41301(a). In addition, PETW's second and third causes of action for unreasonable refusal to deal or negotiate and for failing to establish, observe, and enforce just and reasonable regulations, respectively, should be dismissed with prejudice because they fail to state a claim upon which relief can be granted.

Legal Standard

The FMC's Rules of Practice and Procedure do not explicitly provide for a motion to dismiss for failure to state a claim. *Maier Terminals, LLC v. The Port Authority of New York and New Jersey*, FMC Docket No. 12-02, 2015 WL 9426189, at *8 (F.M.C. Dec. 18, 2015). However, the rules do provide that "[i]n proceedings under this part, for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice." 46 C.F.R. § 502.12. Rule 12(b)(6) permits a pleader to raise by motion failure to state a claim. In similar cases, the FMC has followed Rule 12(b)(6) as well as the plausibility standard of *Iqbal* and *Twombly* in reviewing motions to dismiss. See *Maier Terminals, LLC*, 2015 WL 9426189, at *8.

"On a motion to dismiss for failure to state a claim upon which relief can be granted pursuant to Rule 12(b)(6), courts will dismiss a claim if the plaintiff's complaint fails to plead 'enough facts to state a claim for relief that is plausible on its face.'" *Cornell v. Princess Cruise Lines, Ltd.*, FMC Docket No. 13-02, 2014 WL 5316340, at * 6 (F.M.C. Aug. 28, 2014) (quoting *Bell Atl. Corp. v. Twombly*, 550 U.S. 544, 570 (2007)); *Mitsui O.S.K. Lines, Ltd. v. Global Link*

Logistics, Inc., FMC Docket No. 09-01, 2011 WL 7144008, at *12 (F.M.C. Aug. 1, 2011). Evaluated in conjunction with Rule 12(b)(6), the FMC’s pleading standard requires a “short and plain statement of the claim showing that the pleader is entitled to relief.” 46 C.F.R. § 502.62(a).

In addition to moving to dismiss for failure to state a claim, “defendants may raise a statute of limitations defense in a motion to dismiss under Federal Rule of Civil Procedure 12(b)(6) when the facts that give rise to the defense are clear from the face of the complaint.” *Rudder v. Williams*, 47 F.Supp.3d 47, 50 (D.D.C. 2014) (quoting *Smith–Haynie v. District of Columbia*, 155 F.3d 575, 578 (D.C. Cir. 1998) (internal quotation marks omitted)). In the FMC, “[t]he standards of Rule 12(b)(6) apply to a motion to dismiss based on a statute of limitations.” *Maher Terminals, LLC*, 2015 WL 9426189, at *37 (citing *In re Mirena IUD Prods. Liability Litig.*, 29 F. Supp. 3d 345, 350 (S.D.N.Y. 2014)).

“For the purposes of a motion to dismiss under Rule 12(b)(6), the court takes all facts alleged in the complaint as true.” *Rudder*, 47 F.Supp.3d at 50 (citing *Twombly*, 550 U.S. at 556). In addition, the court must construe the factual allegations in the complaint in the light most favorable to the plaintiff and must grant the plaintiff the benefit of all inferences that can be derived from the facts as alleged in the complaint. *Princess Cruise Lines*, 2014 WL 5316340, at * 7 (citing *Barr v. Clinton*, 370 F.3d 1196, 1199 (D.C. Cir. 2004)). However, the FMC will not “accept any inferences drawn by Complainants that are unsupported by the facts pleaded in the complaint . . . [or] accept legal conclusions cast in the form of factual allegations.” *Princess Cruise Lines*, 2014 WL 5316340, at * 7 (citing *Barr*, 370 F.3d at 1199; *Kowal v. MCI Commc’ns Corp.*, 16 F.3d 1271, 1276 (D.C. Cir. 1994)). And, “dismissal is appropriate only if the complaint on its face is conclusively time-barred.” *Firestone v. Firestone*, 76 F.3d 1205, 1209 (D.C. Cir. 1996).

“In considering a motion to dismiss for failure to state a claim pursuant to Rule 12(b)(6), a district court may consider the facts alleged in the complaint, documents attached to the complaint as exhibits, and documents incorporated by reference in the complaint.” *DiFolco v. MSNBC Cable L.L.C.*, 622 F.3d 104, 111 (2d Cir. 2010) (citing *Chambers v. Time Warner, Inc.*, 282 F.3d 147, 153 (2d Cir. 2002); *Hayden v. Cty. of Nassau*, 180 F.3d 42, 54 (2d Cir. 1999)); see *L-7 Designs, Inc. v. Old Navy, LLC*, 647 F.3d 419, 422 (2d Cir. 2011) (noting that a “complaint is also deemed to include any written instrument attached to it as an exhibit, materials incorporated in it by reference, and documents that, although not incorporated by reference, are integral to the complaint.”).

“Where a document is not incorporated by reference, the court may nevertheless [sic] consider it where the complaint relies heavily upon its terms and effect, thereby rendering the document integral to the complaint.” *DiFolco*, 622 F.3d at 111 (quoting *Mangiafico v. Blumenthal*, 471 F.3d 391, 398 (2d Cir. 2006)); *CardioNet, Inc. v. Cigna Health Corp.*, 751 F.3d 165, 168 n.2 (3d Cir. 2014) (finding that in a motion to dismiss, the court could consider contracts not appended to the complaint that were integral to the action); *Sira v. Morton*, 380 F.3d 57, 67 (2d Cir. 2004) (finding that a document not expressly cited in complaint was incorporated into the pleading because it was integral to plaintiff’s ability to pursue his cause of action).

In a motion to dismiss, the court can also consider documents of which the plaintiff had notice and which were integral to its claim even though those documents were not incorporated into the complaint by reference. See *Cortec Indus., Inc. v. Sum Holding L.P.*, 949 F.2d 42, 48 (2d Cir. 1991) (finding that “where plaintiff has actual notice of all the information in the movant’s papers and has relied upon these documents in framing the complaint the necessity of translating a Rule 12(b)(6) motion into one under Rule 56 is largely dissipated.”). In deciding a motion to

dismiss, the court can consider these extraneous documents without converting the motion to dismiss into one for summary judgment. *See Diva's Inc. v. City of Bangor*, 411 F.3d 30, 38 (1st Cir. 2005) (finding that the trial court properly considered a settlement agreement in deciding the motion to dismiss because the appellant's claim in the complaint was that the appellees breached the settlement agreement); *see also Cortec Indus., Inc.*, 949 F.2d at 48 (finding that district court could consider documents of which the plaintiff had notice and which were integral to its claim in ruling on motion to dismiss even though those documents were not incorporated into the complaint by reference); *see, e.g., Pani v. Empire Blue Cross Blue Shield*, 152 F.3d 67, 75 (2d Cir. 1998) (finding that it is well established that a district court may rely on matters of public record in deciding a motion to dismiss under Rule 12(b)(6), including case law and statutes.).

Point I

PETW's prayer for damages based upon its claim of undue or unreasonable preference is barred by the statute of limitations.

46 U.S.C. § 41301(a) provides that “[a] person may file with the Federal Maritime Commission a sworn complaint alleging a violation” In addition, “if the complaint is filed within 3 years after the claim accrues, the complainant may seek reparations for an injury to the complainant caused by the violation.” Reparations refers to money damages. *See* 46 C.F.R. § 502.62 (providing that a “complaint may seek reparation (money damages) for injury caused by violation of the Shipping Act of 1984.”). In a FMC action, “a cause of action accrues when a party knew or should have known that it had a claim” *Maier Terminals v. The Port Authority of New York and New Jersey*, FMC Docket No. 08-03, 2011 WL 7144003, at *11 (F.M.C. May 16, 2011) (citing *Connors v. Hallmark & Son Coal Co.*, 935 F.2d 336, 342 (D.C. Cir. 1991)).

“The essential element of the statute of limitations defense for reparations claims under the [Shipping] Act is that the cause of action accrued more than three years prior to the filing of the

complaint.” *Maier Terminals, LLC v. The Port Authority of New York and New Jersey*, FMC Docket No. 08-03, 2013 WL 9808667, at *2 (F.M.C. Jan. 31, 2013) (citing Fed. R. Civ. P. 8(c)(1); Fed. R. Civ. P. 54). “[B]ecause the statute of limitations is an affirmative defense, the burden is on the defendant to show that the statute of limitations has run. If the defendant meets this requirement, then the burden shifts to the plaintiff to establish an exception to the statute of limitations.” *Id.* (quoting *Campbell v. Grand Trunk W. R. R. Co.*, 238 F.3d 772, 775 (6th Cir. 2001) (internal quotation marks omitted)).

In *Maier Terminals, LLC v. The Port Authority of New York and New Jersey*, FMC Docket No. 08-03, 2013 WL 9808667 (F.M.C. Jan. 31, 2013), the FMC held that a cause of action based upon 46 U.S.C. § 41106(2), accrued on the date that the second lease agreement was entered into. *Id.* at *7. In that case, the Port Authority entered into a lease agreement with APM (Lease EP-248) on January 6, 2000. *Id.* at *1. On October 1, 2000, the Port Authority entered into a lease agreement (Lease EP-249) with Maier, a competitor of APM. *Id.* On June 3, 2008, Maier filed a complaint with the FMC claiming the Port Authority gave undue or unreasonable preference to APM by offering it more favorable lease terms than those offered to Maier. *Id.* Maier sought damages and a cease and desist order as relief. *Id.* The Port Authority moved for summary judgment for the portions of Maier’s complaint based on the discrimination in lease terms, arguing that Maier’s claims were barred by the three-year statute of limitations. *Id.* The ALJ granted the Port Authority’s motion as to Maier’s reparations claims, but denied its motion as to Maier’s cease and desist relief. *Id.* at *2. The ALJ reasoned that the “undisputed material facts establish that when Maier signed Lease EP-249 on October 1, 2000, it knew all of the contents of and the differences between Lease EP-249 and Lease EP-248 and that, as of that date, had information that would permit it to plead and prove each element of its *prima facie* case. *Id.* at *5.

On review, the FMC affirmed the ALJ's dismissal of Maher's reparation claims, finding "that no later than October 1, 2000, the date that the terms of its lease with PANYNJ were fixed, Maher knew or should have known, all the information it needed to determine whether the difference in terms between the two leases were or were not justified by valid transportation factors." *Id.* at *7.

Here, PETW alleges that the Port Authority gave undue or unreasonable preference to PNCT by offering it lease terms different than those offered to PETW. Specifically, PETW claims the PNCT Agreement entered into January 2012 contained more favorable lease terms than those offered to PETW in its November 1, 2009 lease, in violation of 46 U.S.C. § 41106(3). *See* Barragan Cert. at Ex. A, p. 4, ¶ K, p. 6, ¶ W, and p. 7, ¶ AA. Accepting all the allegations contained in PETW's complaint as true, pursuant to 46 U.S.C. § 41301(a), PETW was required to file its complaint on or before January 31, 2015, because PETW knew or should have known of the more favorable lease terms, given that the complaint alleges that the Port Authority's agreement with PNCT was entered into in January 2012 and its terms and conditions were widely publicized. *See* Barragan Cert. at Ex. A, p. 7, ¶ Y. This is evidenced by the June 2011 news June 15, 2011 article titled "Port Newark terminal lease deal to double volume." *See* Barragan Cert. at Ex. E.

PETW's knowledge of the signing of the PNCT Agreement is evidenced by the July 20, 2011 letter, in which PETW's president, Patrick Wynne, acknowledges in writing that he was aware of PNCT's expansion plan in Port Newark and the publicity that the PNCT Agreement had received. *See* Barragan Cert. at Ex. F, p. 2, ¶ 2. It is appropriate for the Commission to consider the July 20, 2011 letter without converting the present motion into one of summary judgment because this document is integral to PETW's claims. In addition, the document's authenticity

cannot be questioned because same was authored by PETW's president, Patrick Wynne. See Barragan Cert. at Ex. F.

It is also appropriate for the Commission to consider the June 2011 news article titled "Port Newark terminal lease deal to double volume" without the need to convert the present motion into one for summary judgment because PETW had actual notice of the news article, given that it was originally produced by PETW as part of its initial disclosures.

As such, PETW should have filed this action on or before July 20, 2014. However, PETW waited July 21, 2017, four days before the trial date of the landlord/tenant action to have PETW evicted from buildings 201 and 202, to commence this action. Accordingly, PETW's claim for reparations should be dismissed as it is untimely and no tolling provision applies.

Point II

PETW has failed to state a claim under the Shipping Act for unreasonable refusal to deal or negotiate and for failing to establish, observe, and enforce just and reasonable regulations.

As indicated above, when reviewing a motion to dismiss, the analyzing court must construe the factual allegations in the complaint in the light most favorable to the plaintiff and must grant the plaintiff the benefit of all inferences that can be derived from the facts as alleged in the complaint. See *Princess Cruise Lines*, 2014 WL 5316340, at * 7. However, the FMC will not "accept any inferences drawn by Complainants that are unsupported by the facts pleaded in the complaint . . . [or] accept legal conclusions cast in the form of factual allegations." *Id.*

"To survive a motion to dismiss, a complaint must contain sufficient factual matter, accepted as true, to "state a claim to relief that is plausible on its face." *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009) (quoting *Twombly*, 550 U.S. at 570) (internal quotation marks omitted). "A claim has facial plausibility when the plaintiff pleads factual content that allows the court to draw the

reasonable inference that the defendant is liable for the misconduct alleged.” *Iqbal*, 556 U.S. at 678 (citing *Twombly*, 550 U.S. at 556). “Where a complaint pleads facts that are merely consistent with a defendant's liability, it stops short of the line between possibility and plausibility of entitlement to relief.” *Iqbal*, 556 U.S. at 678 (quoting *Twombly*, 550 U.S. at 557) (internal quotation marks omitted). “[W]here a plaintiff is unable to allege any fact sufficient to support its claim, a complaint should be dismissed with prejudice.” *Cortec Indus., Inc.*, 949 F.2d at 48.

A. PETW cannot establish a *prima facie* case of unreasonable refusal to deal or negotiate because the Port Authority’s failure to make any commitments regarding PETW’s continued operations in Port Newark does not amount to a refusal to deal or negotiate.

The second cause of action of the complaint alleges that the Port Authority unreasonably refused to deal or negotiate, in violation of 46 U.S.C. § 41106(3), by consistently refusing “to make any commitments whatsoever regarding its plans for Port Elizabeth Terminal & Warehouse Corp.’s continued operations at Port Newark.” PETW seemingly argues that since it was unable to secure an alternative space within the facility, the Port Authority must have violated its rights under the Shipping Act by unreasonably refusing to deal or negotiate. However, the Port Authority’s failure to make any commitments regarding PETW’s continued operations in Port Newark does not amount to a refusal to deal or negotiate. PETW’s own complaint concedes that Port Authority officials met with them on numerous instances from 2011 to 2017 to deal and negotiate. This is further evidenced by the numerous meetings that took place between Port Authority representatives and PETW on October 20, 2016, November 30, 2016, and March 28, 2017. See Barragan Cert. at Ex. J, K, and L. Whether those meetings amounted to a deal to allow PETW to continue its operations at Port Newark is beside the point for purposes of establishing a *prima facie* case of unreasonable refusal to deal or negotiate. It is appropriate for the Commission to consider these documents without converting this motion into one for summary judgment

because they serve as evidence of the numerous meetings between the Port Authority and PETW, thereby directly refuting PETW's claim that the Port Authority unreasonably refused to deal or negotiate.

In *Global Link Logistics v. Hapag-Lloyd*, FMC Docket No. 13-07, 2014 WL 5316345 (F.M.C. Apr. 17, 2014), the FMC found that the complainant failed to establish a claim for unreasonable refusal to deal or negotiate against Hapag-Lloyd because “[a]ccording to the facts alleged in the Complaint, taken as true for this motion, every year from 2007 to 2012 Hapag-Lloyd engaged in negotiations with Global Link” *Id.* at *17. The FMC found that “[t]o the extent Global Link intends to claim that Hapag-Lloyd refused to deal or negotiate in the period, that claim is contradicted by the facts alleged in the Complaint.” *Id.* In finding that dismissal of Global Link's claim of unreasonable refusal to deal or negotiate was warranted, the FMC reasoned that the Shipping “Act does not guarantee the right to enter into a contract, much less a contract with any specific terms; such a right has not existed either before or since the passage of OSRA [Ocean Shipping Reform Act]. All that is required is that common carriers ... refrain from “shutting out” any person for reasons having no relation to legitimate transportation-related factors.” *Id.*

Taking the facts alleged in the complaint as true, PETW has not established an unreasonable refusal to deal or negotiate, given that the complaint details numerous meetings from 2011 to 2017, in which the parties met to deal or negotiate. As such, the second cause of action of PETW's complaint should be dismissed with prejudice.

B. PETW cannot establish a *prima facie* case that the Port Authority failed to establish, observe, and enforce just and reasonable regulations because the complaint fails to plead any facts to state a claim for relief that is plausible on its face.

46 U.S.C. § 41102(c) (Practices in Handling Property), provides that a “common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe,

and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.”

“The Commission has stated that the test of reasonableness as applied to terminal practices is that the practice must be otherwise lawful, not excessive, and reasonably related, fit and appropriate to the ends in view.” *Maier Terminals, LLC v. The Port Authority of New York and New Jersey*, FMC Docket No. 12-02, 2015 WL 435475, at *8 (F.M.C. Jan. 30, 2015) (quoting *Kawasaki Kisen Kaisha, Ltd v. The Port Authority of New York and New Jersey*, FMC Docket No. 11-12, at *18 (Order Affirming Dismissal of Complaint) (F.M.C. Nov. 20, 2014) (internal quotation marks omitted)). However, a “[c]omplainant’s conclusory legal statements, such as ‘just and reasonable,’ provide no factual support for the allegations that Respondent’s conduct violated the Shipping Act. Accordingly, the complaint, accepted as true, fails to allege sufficient factual matter to state a plausible Shipping Act claim.” *Maier Terminals, LLC*, 2015 WL 435475, at *10.

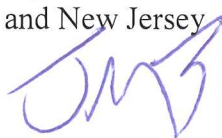
Here, PETW’s claims that the Port Authority violated 46 U.S.C. § 41102(c) because the Port Authority’s “regulations and practices favor Marine Terminal Operators over others based upon non-transportation factors in a way so as to unduly favor Marine Terminal Operators based upon status.” See Barragan Cert. at Ex. A, p. 11, ¶ AAA. Other than this conclusory legal statement, the complaint is bereft of any facts whatsoever to state a claim for relief that is plausible on its face. In fact, the complaint does not even mention which regulations or practices the Port Authority failed to establish, observe, and/or enforce. Moreover, the complaint fails to provide any details describing how the Port Authority failed to establish, observe, and/or enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.

Therefore, under the standards set forth by the Supreme Court in *Twombly* and *Iqbal* and by the FMC in *Maher Terminals, LLC v. The Port Authority of New York and New Jersey*, FMC Docket No. 12-02, 2015 WL 435475 (F.M.C. Jan. 30, 2015), the Port Authority respectfully submits that PETW has failed to state a claim for relief that is plausible on its face. Accordingly, dismissal with prejudice of the second and third causes of action is warranted.

Conclusion

For the foregoing reasons, the Port Authority respectfully requests that PETW's prayer for damages and the second and third causes of action be dismissed.

PORT AUTHORITY LAW DEPARTMENT
Attorneys for The Port Authority of New
York and New Jersey

By: 

Juan M. Barragan

Dated: January 12, 2018

BEFORE THE
FEDERAL MARITIME COMMISSION

Docket No. 17-07

PORT ELIZABETH TERMINAL & WAREHOUSE CORP.
COMPLAINANT
v.
THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY
RESPONDENT

AFFIDAVIT OF SERVICE

Tyler L. Hinton, being duly sworn, deposes and says:

That I am a Law Intern in The Port Authority of New York and New Jersey Law Department, am over the age of eighteen (18) years, am not a party to this action and have an office address at 4 World Trade Center, 150 Greenwich Street, New York, New York.

That on the 12th day of January 2018, I served the annexed **THE PORT AUTHORITY'S MOTION TO DISMISS including THE NOTICE OF MOTION, CERTIFICATION OF JUAN M. BARRAGAN WITH ACCOMPANYING EXHIBITS, and MEMORANDUM OF LAW** upon:

Law Offices of Donald F. Burke
45 Gale Road
Brick, New Jersey 08723
Attn: Donald F. Burke, Esq.

LaRoe, Winn, Moerman & Donovan
1250 Connecticut Avenue North West, Suite 200
Washington, DC 20036
Attn: Paul M. Donovan, Esq.

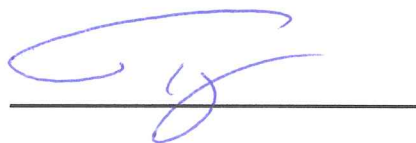
by depositing a true copy thereof in a sealed wrapper, in a depository maintained by FedEx to be shipped via FedEx Overnight Service at 4 World Trade Center, 150 Greenwich Street, 24th Floor, New York, New York 10007.

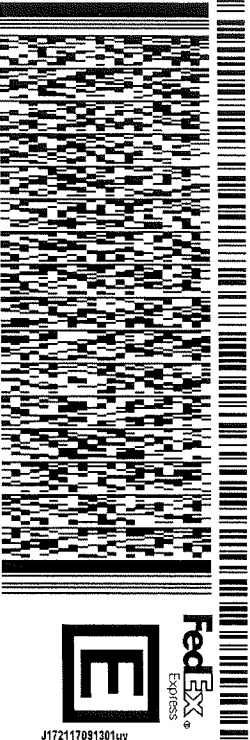
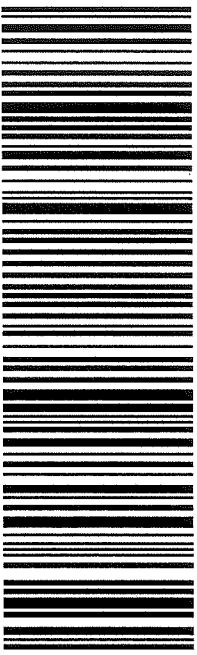
Sworn to before me this
12th day of January 2018.



Notary Public

Natalie D. Russell
NOTARY PUBLIC, State of New York
No. 01RU6358214
Qualified in New York County
Commission Expires May 8, 2021



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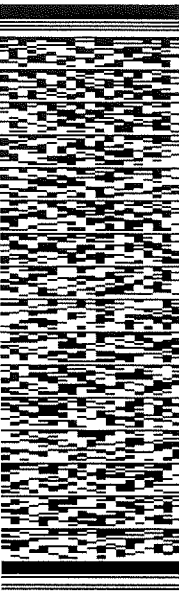
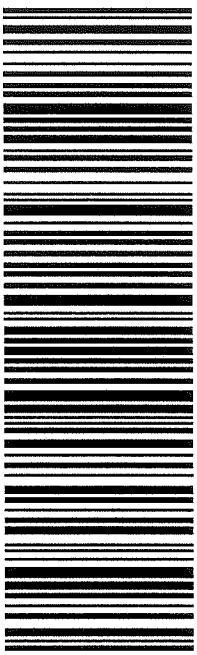
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